

SAUDI ARABIA

Table 1 **2022**

Population, million	36.4
GDP, current US\$ billion	1019.3
GDP per capita, current US\$	27996.9
School enrollment, primary (% gross) ^a	102.1
Life expectancy at birth, years ^a	76.2
Total GHG emissions (mtCO ₂ e)	771.4

Source: WDI, Macro Poverty Outlook, and official data.

a/ WDI for School enrollment (2021); Life expectancy (2020).

Following the strong performance in 2022, economic growth is expected to taper off in 2023 driven by stagnant oil production, as part of OPEC+ agreed production schedule. Inflation remains contained supported by relatively strong US dollar, tight monetary policy, and a cap on domestic fuel prices. Elevated oil prices support twin-balance surpluses in the medium-term. A breakout of new COVID surges, volatile oil prices, and tighter-than-expected global financial conditions are key risks to the outlook.

Key conditions and challenges

The Saudi Arabian economy is dominated by oil, and a long-term diversification plan (Vision 2030) promotes structural reforms targeting strong, sustained, inclusive, greener, and service-led growth. Accordingly, the Public Investment Fund (PIF) is aiming to channel SAR150 billion (US\$40 billion) annually into pushing the diversification agenda forward. Similarly, the Shareek initiative aims to generate about SAR5 trillion (US\$1.3 trillion) of local investment by 2030, helped by the participation of some of the Kingdom's largest companies. Strong emphasis is also being placed on tourism development, with a view to boosting the sector's contribution to 10 percent of GDP by 2030. Development opportunities and risks are both numerous. On the upside, an improvement in China's growth prospects—following the abrupt abandonment of its zero covid policy—holds the promise of stronger demand in Saudi Arabia's main export market. On the downside, risks include: new COVID surges, lower oil prices due to reduced global activity (especially if the Russian invasion of Ukraine has lasting effects), tighter-than-expected global financial conditions, and procyclical pressures to spend oil windfalls and deviate from fiscal prudence. Delays or digressions in implementing structural reforms highlighted in the Vision 2030, either due

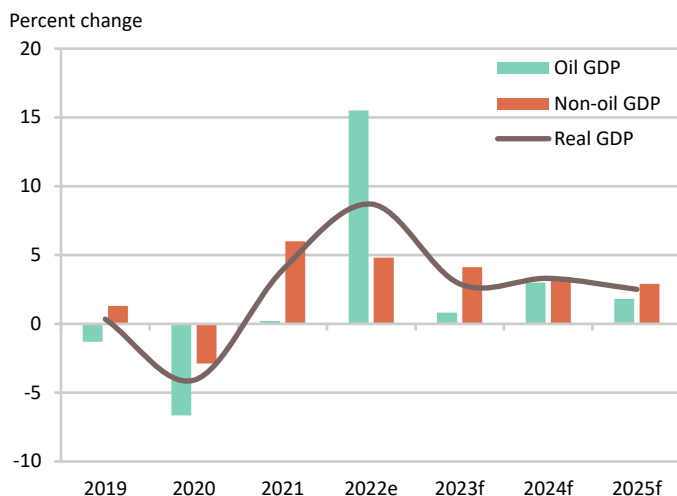
to international shocks or because of the foreseen comfortable twin-balance surpluses, would reduce prospects for stronger long-term growth.

Recent developments

The Saudi Arabia economy grew at an impressive pace in 2022 despite weaker year-on-year growth in Q4, reflecting the OPEC+ decision to cut oil quotas from November onward. Official data suggest that the economy grew by 8.7 percent yearly—the fastest growth rate since 2011—supported by the oil sector which rebounded by a staggering 15.5 percent. Supported by robust consumer spending, loose fiscal policy, and improved labor markets, the non-oil sectors continued to expand, reaching 4.8 percent y-o-y in 2022. Headline inflation stayed moderate and well-below the levels recorded in other comparable countries, with a (monthly) peak of 3.4 percent being registered in January 2023.

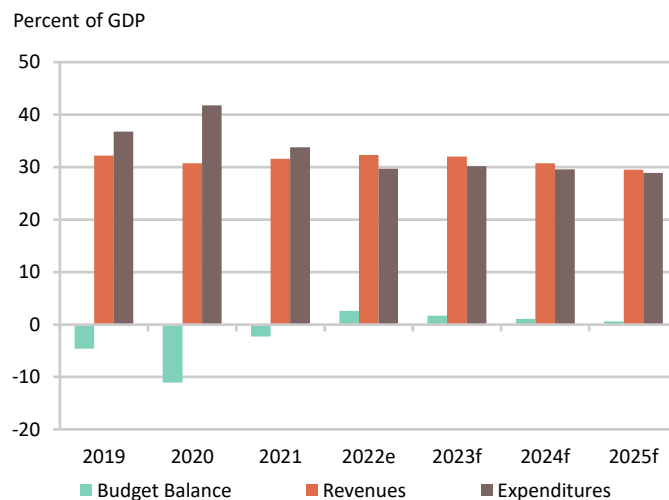
Ministry of Finance data indicate total actual outlays exceeding budgeted expenditures by around 19 percent in 2022. However, booming oil receipts more than compensated for the loose policy, resulting in a fiscal balance surplus of 2.6 percent of GDP—from a deficit of 2.3 percent of GDP in 2021. As a result, public debt fell by more than 5 percentage points in 2022, to hover around 25 percent of GDP. The Q3 2022 balance of payments data show a current account surplus boom, on the back of stronger oil receipts—marking

FIGURE 1 Saudi Arabia / Annual real GDP growth



Sources: GASTAT Saudi Arabia and World Bank staff estimates.

FIGURE 2 Saudi Arabia / Central government operations



Source: World Bank, Macroeconomics, Trade & Investment Global Practice.

the largest surplus recorded in eight years. However, the Saudi Central Bank's foreign reserves only increased by \$1.6 billion which suggests that a significant share of oil revenues being rechanneled by PIF into investments abroad. Overall, the current account surplus is predicted to widen to 15.7 percent of GDP in 2022 on the back of higher oil prices and production levels.

The number of Saudis working in the private sector continues to increase. According to administrative data, the number of Saudi employees in the private sector in Q3 2022 reached 2.14 million, up from 1.91 million in Q4 2021. The number of non-Saudi nationals employed in the private sector also increased to 7.16 million in Q3 2022 from 6.17 million in Q4 2021. The overall labor force participation rate and employment-to-population ratio increased slightly from Q3 2021 to Q3 2022, while the unemployment rate decreased. The labor force participation rate among Saudis increased from 49.8 percent to 52.5 percent and the employment-to-population ratio among Saudis

increased from 44.2 percent to 47.3 percent, while the same indicators decreased slightly among non-Saudis. Importantly, the labor force participation rate and employment-to-population ratio also continue to increase for Saudi women, reaching 37 percent and 29.4 percent, respectively in Q3 2022.

Outlook

Following a GDP expansion of 8.7 percent in 2022, economic growth is expected to decelerate to 2.9 percent in 2023. Stagnant oil production – as Saudi Arabia abides by OPEC+ agreed production quota – will constrain oil sector growth to 0.8 percent. However, as far as oil prices remain high, governments will have plenty of room to keep fiscal policy loose. Furthermore, the backdrop of high oil prices will support credit growth and soften the adverse impact of tighter monetary conditions on consumption. As a result,

the non-oil sectors, which are expected to grow by 4.1 percent, will cushion the softening of the oil sector growth. Meanwhile, a relatively strong US dollar, restrictive monetary policy, and a cap on domestic fuel prices are predicted to curb potential upward pressure on prices, thus keeping inflation rate subdued at 2.4 percent.

Despite the continued expansionary fiscal approach and some reduction in oil receipts during 2023, the fiscal balance is expected to register a surplus of 1.7 percent of GDP—above government's forecast of 0.4 percent of GDP. As a result, and reflecting the reduced financing needs by the government, the debt-to-GDP ratio is expected to reach 24 percent of GDP. The off-budget capital spending by PIF will continue to remain substantial.

Even with the anticipated fall in oil export revenue in 2023, due to softening oil prices and production levels in Saudi Arabia, exports will continue to dwarf imports. As a result, the current account surplus is expected to continue in double-digits during the forecast period.

TABLE 2 Saudi Arabia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022e	2023f	2024f	2025f
Real GDP growth, at constant market prices	-4.3	3.9	8.7	2.9	3.3	2.5
Private Consumption	-8.1	9.4	6.5	3.6	3.3	3.0
Government Consumption	3.3	0.8	4.5	3.1	2.9	2.5
Gross Fixed Capital Investment	-10.4	10.1	10.0	7.2	3.3	3.3
Exports, Goods and Services	-10.6	1.0	18.5	1.8	4.2	2.9
Imports, Goods and Services	-19.8	8.3	17.4	5.4	4.3	4.3
Real GDP growth, at constant factor prices	-4.3	3.9	8.6	2.9	3.3	2.5
Agriculture	-1.7	2.6	3.0	2.0	2.0	2.0
Industry	-6.0	1.7	10.4	0.8	2.3	1.5
Services	-2.2	6.7	6.8	5.5	4.5	3.7
Inflation (Consumer Price Index)	3.4	3.1	2.5	2.4	2.2	2.2
Current Account Balance (% of GDP)	-3.1	5.1	15.7	11.0	10.6	10.3
Net Foreign Direct Investment Inflow (% of GDP)	0.1	-0.6	-0.9	-0.9	-1.0	-1.0
Fiscal Balance (% of GDP)	-11.1	-2.3	2.6	1.7	1.1	0.6
Revenues (% of GDP)	30.7	31.6	32.3	31.9	30.7	29.5
Debt (% of GDP)	33.7	30.9	25.7	24.6	23.7	24.2
Primary Balance (% of GDP)	-10.1	-1.3	3.5	2.7	2.1	1.6
GHG emissions growth (mtCO₂e)	-0.7	3.6	3.8	2.5	3.7	3.1
Energy related GHG emissions (% of total)	69.8	70.8	70.9	71.2	71.8	72.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.